Mesa's stock-in-trade was taking positions in bigger oil companies and telling them how to increase the value of the company and close the market price discount in the stock. Management usually responded that, if Mesa was unhappy with the way the company was managed, it could sell its stock. Pickens likened it to saying, "If you don't like the way the gardener mows your lawn, sell your house."[5] When he surveyed the oil and gas industry in the late 1970s, Pickens saw that it didn't lack for poor managements and undervalued companies. Sounding a little like Benjamin Graham, Pickens wrote in his autobiography:[6]

> *I was intrigued by the relationship of a company's market price to the underlying value of its assets. Many people, including some managements, like to view the stock market as an irrational mechanism. My analysis was the opposite. Over the long haul, the market reflects management's ability to make the most out of its assets. So the price of a company's stock is like a report card. Mesa's stock has almost always traded near or above the appraised value of the assets. A going concern should sell for at least the value of its assets, and something more if it has good management. If a company has poor management, the price of the stock will suffer, usually selling substantially below the appraised value.*

He recognized that the oil and gas industry was overcapitalized and generating more cash flow than it could put to good use. Many oil and gas companies were running down their reserves and not replacing them. From the early to late 1970s, oil prices had increased tenfold and the industry swelled.[7] Then, in the late 1970s, oil consumption fell just as interest rates and drilling costs spiked, leaving excess crude oil reserves. The high oil prices and reduction in exploration and development expenditure turned oil and gas companies into cash cows releasing torrents of free cash flow. The managers tended to squander the free cash flow acquiring businesses in unrelated industries. Oil and gas companies expanded into retailing, manufacturing, office equipment, and mining,[8] and those acquisitions were typically disastrous.[9] The massive misallocation of capital in the industry naturally led the market to value oil and gas stocks on the expectation that the capital destruction would persist, which, in the early 1980s, seemed likely. It also created the perfect combination of conditions for large hostile takeovers. Mesa's bid for Cities would be the first shot in what would become a white-hot market for control of corporations, first in the oil and gas industry and then beyond.